

3.1.7 The Distribution of Income and Wealth: Poverty and Inequality

Income and Wealth: The Essential Distinction

Income is a **flow** of money received by an individual or household over a **period of time** — a week, a month or a year. It includes wages and salaries, rent, interest, dividends, profit and transfer payments (state benefits and pensions).

Wealth is a **stock** of assets owned at a **single point in time**, valued net of any debt secured against them. It includes property, private pension entitlements, financial assets (savings, shares, bonds) and physical possessions.

The flow/stock distinction is the single most examinable idea in this section. A footballer on £100,000 a week has a very large income; a retired person living on the state pension in a mortgage-free house has a low income but substantial wealth. The two are related but they are not the same variable.

Feature	Income	Wealth
Type of variable	A flow — measured over a period	A stock — measured at a moment
Units	£ per week / month / year	£ held on a given date
Main components	Earnings, self-employment income, investment income, transfer payments	Net property, private pension, net financial, physical
How it is taxed	Income tax, National Insurance contributions	Inheritance tax, capital gains tax, stamp duty, council tax

Degree of inequality in the UK	Unequal	Far more unequal than income
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The Relationship Between Income and Wealth

The two reinforce one another, which is why inequality tends to persist across generations:

- **Wealth generates income.** Property produces rent, shares produce dividends, savings produce interest. Someone with a large stock of assets receives an *unearned* flow of income without working.
- **Income accumulates into wealth.** Income not consumed is saved. Higher-income households have a higher **marginal propensity to save**, so they convert more of each extra pound into assets.
- **Asset prices magnify the gap.** When house prices or share prices rise, the gain accrues only to those who already own the asset. Non-owners gain nothing and face higher rents.
- **Inheritance transmits the stock.** Wealth passes between generations largely intact, whereas earnings ability does not. This is the main reason wealth is more unequally distributed than income.

Economists also distinguish **marketable wealth** (assets that can be sold, such as shares or a second home) from **non-marketable wealth** (entitlements that cannot be sold, such as accrued occupational pension rights). Because private pension wealth is the second-largest component of UK household wealth, this distinction matters when judging how much of measured wealth is actually available to spend.

UK Data: The Distribution of Income (DWP, Households Below Average Income, 2024/25)

The Gini coefficient for UK household income was **33% before housing costs (BHC)** and **37% after housing costs (AHC)** in 2024/25. A couple with no children needed a disposable income below **£366 a week BHC** to fall in the lowest-income tenth of the population, while the highest-income tenth needed at least **£1,358 a week — 3.7 times as much**. In 2023/24 the top fifth of individuals received **35% of total disposable household income** and the bottom fifth received **8%**. OECD comparisons place UK income inequality among the highest in Europe, although below that of the United States.

UK Data: The Distribution of Wealth (ONS Wealth and Assets Survey, April 2020 – March 2022, Great Britain)

The Gini coefficient for total household wealth was **0.59** — far higher than the figure for income. The wealthiest tenth of households held around **43% of all wealth**, while the least wealthy half of

households held about **9%**. To be in the wealthiest decile a household needed total wealth of **£1,200,500 or more**. The composition of household wealth was **net property 40%, private pension 35%, net financial 14% and physical 10%** — so most UK wealth is tied up in housing and pensions rather than in liquid savings.

Exam Tip: Examiners repeatedly report candidates using "income" and "wealth" interchangeably. Signal the distinction explicitly in the first line of any answer on this topic — "income is a flow, wealth is a stock" — and then quote the contrast between the UK income Gini (33% BHC in 2024/25) and the wealth Gini (0.59 in 2020–22). One sentence of accurate data will lift an answer into the top level for knowledge.

Causes of Inequality in the Distribution of Income and Wealth

Cause	How it creates inequality
Wage differentials	Wages are set in individual labour markets by the demand for and supply of each type of labour. Occupations with high marginal revenue product and scarce, hard-to-acquire skills (surgeons, barristers, software engineers) command far higher wages than occupations with elastic labour supply (cleaning, retail, hospitality). Trade union power, monopsony employers and compensating differentials widen the gaps further.
Unemployment	The unemployed lose earned income entirely and rely on benefits, which replace only a fraction of previous earnings. Long-term and structural unemployment causes skills to depreciate, so the income loss persists. Worklessness is the single strongest predictor of household poverty.
Age and the life cycle	Earnings typically follow a hump shape: low in early adulthood, peaking in middle age, then falling in retirement. Wealth follows the opposite pattern, accumulating through working life as mortgages are repaid and pensions build. Some measured inequality is therefore simply people at different stages of the same life path, not permanently different groups.

Inheritance	Wealth transferred at death or as lifetime gifts allows advantage to pass between generations without being earned. Inherited deposits also determine who can buy property, which is the largest single component of UK wealth.
Ownership of assets	Those who own property, shares and pension funds receive rent, dividends and capital gains. Because asset ownership is far more concentrated than earnings, rising asset prices increase wealth inequality directly.
Differences in human capital	Education, training, qualifications and health determine productivity and therefore earnings. Access to high-quality education is itself correlated with parental income, creating a self-reinforcing cycle.
Discrimination	Where employers pay different wages, or restrict access to occupations, on grounds of sex, ethnicity, age or disability, groups earn less than their productivity justifies. Discrimination shifts the demand curve for the affected group's labour to the left and can trap workers in low-paid occupational segments.
Household composition	Household income depends on how many earners and how many dependants a household contains. A dual-earner couple with no children has a far higher equivalised income than a lone parent with three children, even at identical hourly wages. This is why official statistics equivalise incomes for household size before comparing them.

Exam Tip: Causes of inequality and causes of poverty overlap but are not identical. Inequality is about the *whole distribution*; poverty is about the *bottom of it*. Wage differentials at the very top (bankers, chief executives) raise inequality but have no effect on poverty. Make the distinction explicit rather than recycling one list for both questions.

Measuring Inequality: The Lorenz Curve

A **Lorenz curve** plots the **cumulative percentage of the population** (ranked from poorest to richest) on the horizontal axis against the **cumulative percentage of total income** (or wealth)

received by them on the vertical axis.

The **45° line** is the **line of perfect equality**: on it, the poorest 20% receive exactly 20% of income, the poorest 50% receive 50%, and so on. The **further the Lorenz curve bows away from the 45° line, the greater the inequality**.

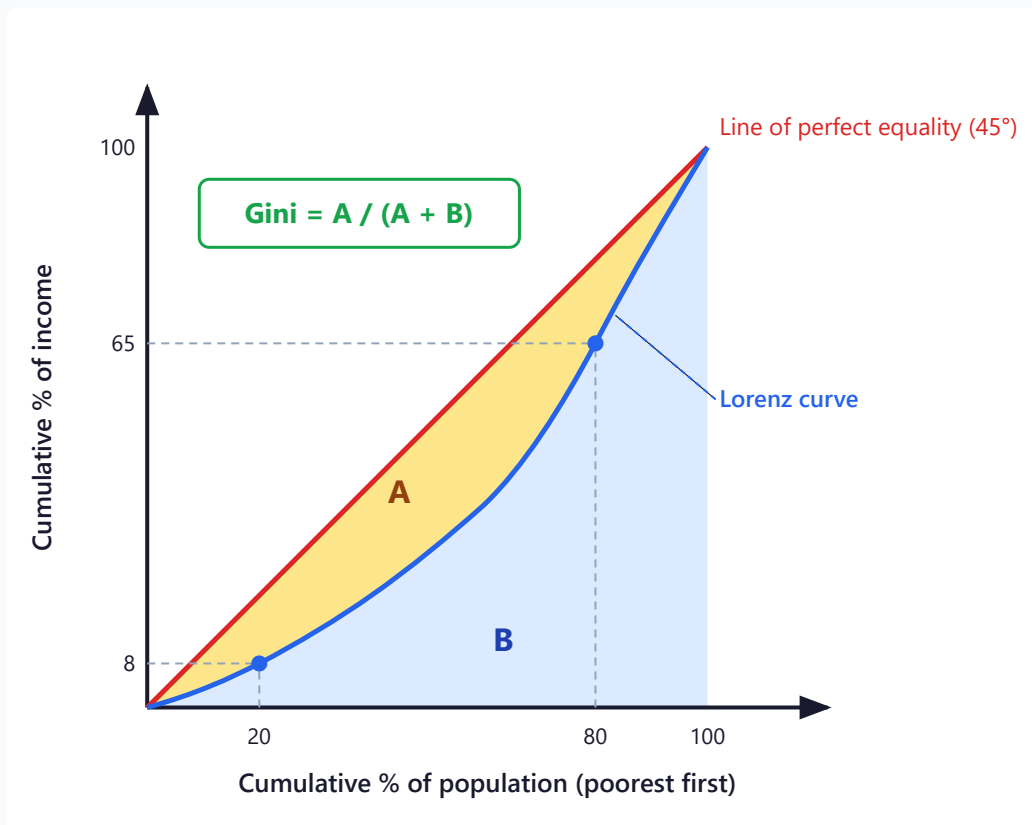


Figure 1: The Lorenz curve. Area A is the gap between the line of perfect equality and the Lorenz curve; area B is the area beneath the Lorenz curve. The Gini coefficient is A divided by (A + B). The plotted curve uses UK disposable income shares: the bottom fifth receives 8% of income and the top fifth 35%, so the bottom 80% cumulatively receive 65%.

The Gini Coefficient

The **Gini coefficient** converts the Lorenz curve into a single number. It is the ratio of the area between the line of perfect equality and the Lorenz curve (A) to the total area beneath the line of perfect equality (A + B).

$$\text{Gini coefficient} = A / (A + B)$$

- **Gini = 0** — perfect equality. The Lorenz curve lies exactly on the 45° line, so area A is zero.
- **Gini = 1** — perfect inequality. One person receives all the income, so area B is zero.
- It is often quoted as a percentage between 0 and 100 rather than a decimal between 0 and 1. The UK income figure of 33% BHC and the wealth figure of 0.59 are the same measure expressed in the two different conventions.
- A **rising** Gini means inequality is **increasing**; a falling Gini means the distribution is becoming more equal.

	Strengths	Limitations
Lorenz curve	Shows the whole distribution visually; reveals <i>where</i> in the distribution inequality lies; allows two distributions or two years to be compared directly on one diagram	Only a picture — no single number to rank countries; if two curves cross, neither distribution is unambiguously more unequal; relies on grouped data that conceals variation within each group
Gini coefficient	A single summary statistic, so easy to compare across countries and over time; sensitive to the entire distribution rather than just the extremes; widely published by the ONS, DWP, OECD and World Bank	Two very different distributions can share the same Gini; it does not say whether inequality arose at the top or the bottom; it says nothing about <i>absolute</i> living standards — a poor country and a rich one can have identical Ginis; household surveys typically under-record top incomes, so the true figure is probably understated

Quintile and Decile Shares

A simpler alternative is to rank households by income and split them into five equal groups (**quintiles**, 20% each) or ten equal groups (**deciles**, 10% each), then report the share of total income each group receives. The **quintile ratio (S80/S20)** divides the income share of the top fifth by that of the bottom fifth.

Measure	UK figure	Interpretation
Share of top quintile (2023/24)	35% of total disposable household income	The richest fifth receive over a third of all income
Share of bottom quintile (2023/24)	8% of total disposable household income	The poorest fifth receive less than a tenth
Quintile ratio (S80/S20)	$35 \div 8 \approx 4.4$	The top fifth receive roughly four and a half times the income of the bottom fifth
Decile boundaries, couple with no children (2024/25, BHC)	Bottom decile below £366 a week; top decile at least £1,358 a week	The top decile threshold is 3.7 times the bottom decile threshold
Share of wealthiest decile (2020–22)	Around 43% of total household wealth	Wealth is far more concentrated than income

Worked Example: Constructing a Lorenz Curve from Quintile Data

Data questions in this topic usually supply the share of income received by each fifth of the population and ask you to plot or interpret the curve. The Lorenz curve is plotted from the **cumulative** column, never from the raw shares — this is the most common error in exam scripts.

Population group (poorest first)	Share of total income (%)	Cumulative population (%)	Cumulative income (%)
Bottom fifth	8	20	8
Second fifth	12	40	20
Third fifth	16	60	36
Fourth fifth	29	80	65

Top fifth	35	100	100
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Plotting the last two columns as coordinates — (20, 8), (40, 20), (60, 36), (80, 65), (100, 100) — and joining them from the origin produces the curve in Figure 1. Note the properties that must always hold:

- The curve **starts at (0, 0)** — nought per cent of the population receive nought per cent of income — and **ends at (100, 100)**, because 100% of the population necessarily receive 100% of income.
- It is **never above the 45° line**, because the poorest x% of the population cannot receive more than x% of income once they are ranked from poorest upwards.
- It gets **steeper as it moves right**, because each successive group is richer than the one before it. A convex-upward curve would mean the ranking had been done incorrectly.

Exam Tip — Calculation Questions: If you are given two years of quintile data and asked what happened to inequality, compare the *bottom* and *top* shares and state the direction of change in the Gini. If the bottom quintile's share falls while the top quintile's share rises, the Lorenz curve has bowed further from the diagonal and the Gini has risen. You will not be asked to compute a Gini coefficient from areas by hand at A-level, but you must be able to say what a change in its value means.

Before and After Housing Costs

UK income statistics are published on two bases. **Before housing costs (BHC)** measures disposable income including the money later spent on rent or mortgage interest. **After housing costs (AHC)** deducts rent, mortgage interest, water charges and buildings insurance first.

Housing costs absorb a much larger share of low incomes than of high incomes, so the AHC distribution is always more unequal. In 2024/25 the Gini was **33% BHC but 37% AHC** — a gap created entirely by housing. AHC figures are generally regarded as the better guide to living standards for low-income households, particularly private renters, because their housing costs are effectively unavoidable. BHC figures can overstate the living standards of someone whose entire income gain is absorbed by a rent increase.

The Effect of Taxes and Benefits on the Distribution

The distribution produced by the market alone is called **original income** — earnings, self-employment income, investment income and private pensions, before any government action. The state then modifies it in three stages: it adds **cash benefits** to give *gross income*, deducts **direct taxes** to give *disposable income*, and adds **benefits in kind** such as state education and NHS treatment to give *final income*. Each stage pulls the Lorenz curve closer to the line of perfect equality.

Stage	Definition	Effect on the Lorenz curve
Original income	Earnings, self-employment income, investment income and private pensions — the market outcome before any state action	The most unequal of the five measures; the curve lies furthest from the 45° line
Gross income	Original income plus cash benefits (Universal Credit, the state pension, disability benefits)	Moves sharply inwards, because transfers are concentrated in the lowest deciles
Disposable income	Gross income minus direct taxes (income tax, NICs, council tax)	Moves inwards further, because direct taxes are progressive
Post-tax income	Disposable income minus indirect taxes (VAT, duties)	Moves back <i>outwards</i> , because indirect taxes are regressive
Final income	Post-tax income plus benefits in kind (state education, NHS treatment)	The most equal of the five; benefits in kind are worth a far larger share of a small income

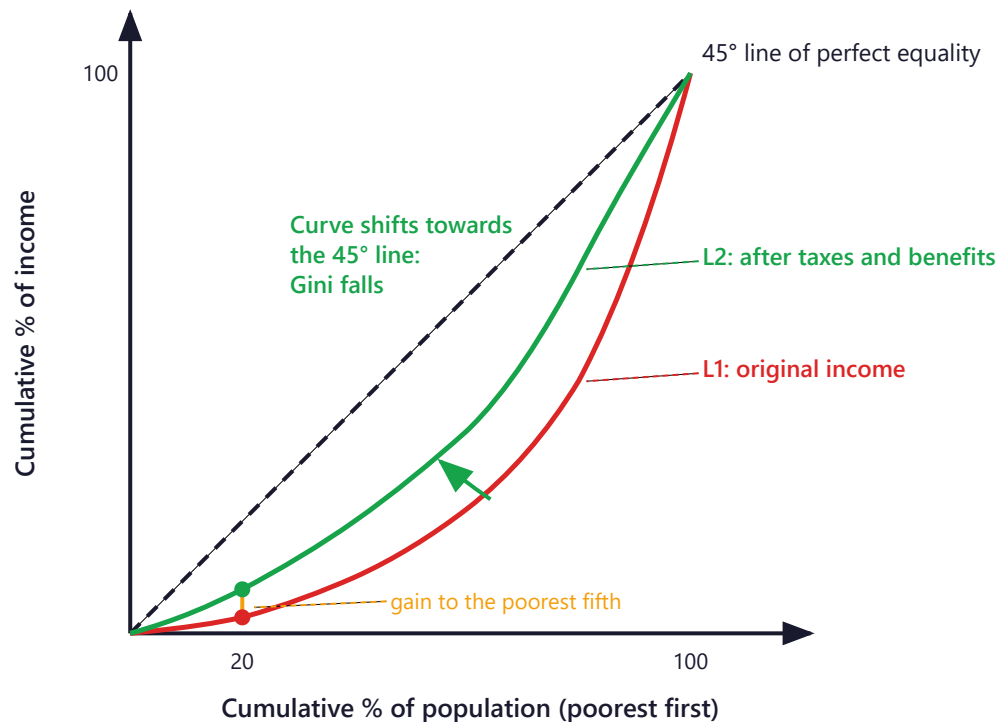


Figure 2: Redistribution through the tax and benefit system. Progressive direct taxes and cash benefits move the Lorenz curve from L1 (original income) inwards to L2 (disposable income), reducing the shaded gap and therefore the Gini coefficient. The curves are illustrative of the direction of the shift.

Exam Tip — Drawing the Lorenz Curve: Four things earn the marks. (1) Label the axes as *cumulative* percentages, population on the horizontal axis. (2) Draw the 45° line from the origin to the top right corner and call it the line of perfect equality. (3) Make the Lorenz curve start at (0, 0) and finish at (100, 100) and bow **below** the diagonal — a curve above it is an automatic loss of marks. (4) Shade and label areas A and B and write $Gini = A/(A + B)$. If the question asks about a policy, show the *direction* of the shift with an arrow.

Poverty: Absolute and Relative

Absolute poverty exists when income is insufficient to afford the basic necessities of life — food, clean water, shelter, clothing and warmth. It is measured against a **fixed** standard that does not rise

with average living standards. The World Bank uses an international line; the UK's official "absolute low income" measure uses 60% of median income in a fixed base year, uprated only for inflation.

Relative poverty exists when income is substantially below the typical income in that society, so a household cannot participate in normal life. The UK's official relative low-income threshold is **60% of contemporary median household income**, equivalised for household size and published both before and after housing costs.

Because the relative line moves with the median, economic growth that lifts *all* incomes proportionately reduces absolute poverty but leaves relative poverty unchanged. Conversely, a recession that cuts median income can *reduce* measured relative poverty even though everybody is worse off — a genuine weakness of the measure that examiners reward candidates for spotting.

Equivalisation adjusts household income for the size and composition of the household before it is compared with the threshold. A single adult on £20,000 is better off than a couple with three children on the same £20,000, because the same money has to stretch further. Official UK statistics therefore convert every household's income into the equivalent income of a childless couple before ranking households or applying the 60% line. Without equivalisation, large families would appear far better off than they are and the measured poverty rate would be meaningless.

	Absolute poverty	Relative poverty
Threshold	Fixed in real terms — uprated only for inflation	Moves with contemporary median income
UK official measure	Below 60% of median income in a fixed base year, adjusted for inflation	Below 60% of contemporary median household income
Effect of general economic growth	Falls, because real incomes rise above a fixed line	Unchanged if all incomes rise proportionately
Effect of a recession that cuts the median	Rises, because real incomes fall	May <i>fall</i> , because the threshold itself falls

Can it be eliminated?	Yes, in principle, through growth and redistribution	Never fully, unless the whole distribution is compressed
Main criticism	Ignores social participation; a fixed basket becomes outdated	Really a measure of inequality at the bottom rather than of deprivation

Poverty Is Not the Same as Inequality

	Poverty	Inequality
What it measures	The position of households at the bottom relative to a threshold	The spread of income or wealth across the whole distribution
Typical measure	Headcount below 60% of median income	Gini coefficient, Lorenz curve, quintile shares
Can one exist without the other?	A very equal society can still be uniformly poor — high poverty, low inequality	A rich society can have a very wide spread with nobody below the poverty line — high inequality, no poverty
Policy focus	Benefits, minimum wages, in-work support targeted at the bottom	Progressive taxation, wealth taxes, measures affecting the top as well as the bottom

UK Data: Relative Poverty (DWP, Households Below Average Income, 2024/25)

20% of individuals were in relative low income after housing costs in 2024/25, unchanged on 2023/24. **Relative child poverty after housing costs was 31%**, and has been between 27% and 31% in every year since 2001/02 — a striking example of a statistic that policy has repeatedly failed to move. Children in families with three or more children had a relative poverty rate of **45%**, and **58% of children in workless families** were in relative poverty AHC. In July 2026 the government projected that relative child poverty AHC would fall by **400,000 by 2029/30**.

UK Data: Joseph Rowntree Foundation, *UK Poverty 2026* (data for 2023/24)

The JRF found **14.2 million people — 21% of the population — in poverty**, including **4.5 million children** (about three in ten) and 7.9 million working-age adults; around three in twenty pensioners were in poverty. **6.8 million people were in "very deep" poverty**, defined as an income of at most two-thirds of the poverty line — the highest number and share on record since 1994/95. Around **3.8 million people, including about one million children, experienced destitution in 2022**. The JRF's findings show that the depth of poverty has worsened even while the headcount rate has been broadly flat, which the headline 60%-of-median measure alone would not reveal.

Causes of Poverty

- **Unemployment and worklessness** — the loss of earned income is only partly replaced by benefits. The 58% relative poverty rate among children in workless families shows how strong this link is.
- **Low pay and underemployment** — most people in poverty in the UK are in working households. Part-time hours, insecure contracts and low hourly wages can leave a working household below the threshold.
- **Lack of human capital** — poor qualifications and skills restrict workers to occupations with elastic labour supply and low marginal revenue product, and therefore low wages.
- **Sickness, disability and caring responsibilities** — these reduce the hours a household can work and raise its costs at the same time.
- **Household composition** — lone-parent households and households with several children have more dependants per earner. Poverty rates rise sharply with the number of children.
- **High housing costs** — the difference between the 33% BHC and 37% AHC Gini, and the higher AHC poverty rates, are driven by rent and mortgage interest absorbing a large share of low incomes.
- **Inadequate or poorly taken-up benefits** — means-tested support that is set too low, or not claimed, leaves households below the line.
- **The cycle of poverty** — low income leads to poorer health, housing and education, which lowers future earning power, transmitting poverty to the next generation.

Consequences of Poverty

For individuals and households

For the economy as a whole

Poorer physical and mental health and lower life expectancy	A less productive workforce, lowering LRAS and potential output
Worse educational attainment, reducing lifetime earnings	Loss of human capital and a smaller tax base
Material deprivation, fuel poverty and food insecurity	Higher government spending on benefits, healthcare and social services — an opportunity cost
Social exclusion and inability to participate in normal activities	Higher crime and the associated policing and justice costs
Debt and reliance on high-cost credit	Weaker aggregate demand if income is concentrated among high savers
Intergenerational transmission to children	Reduced social mobility and a persistent misallocation of talent

Social Mobility and the Cycle of Poverty

Social mobility is the extent to which an individual's economic position differs from that of their parents. **Intergenerational mobility** is low when a child's adult income can be predicted accurately from their parents' income — the sign that inequality is being inherited rather than earned.

The **cycle of poverty** explains why low income persists across generations even when the labour market rewards skill:

1. A low household income restricts spending on housing quality, nutrition, books, tutoring, travel and extra-curricular activities.
2. The child's health and educational attainment suffer, so human capital accumulation is lower.
3. Lower qualifications restrict the child to occupations with elastic labour supply and low marginal revenue product.
4. The child therefore earns a low income as an adult, and the cycle repeats with their own children.

The cycle is the reason why education and early-years policy dominate discussions of long-run poverty reduction: cash transfers relieve poverty in the current period, but only human capital policies break the transmission mechanism. It also shows why the stock of wealth matters so much — an inherited deposit determines who can buy property, and the 45% relative poverty rate among children in families with three or more children shows how household composition compounds the effect.

The Poverty Trap and the Unemployment Trap

The **poverty trap** (the earnings trap) occurs when a low-income household that increases its gross earnings gains very little net income, because it simultaneously pays income tax and National Insurance contributions *and* loses means-tested benefits as its earnings rise. The household faces a very high **effective marginal tax rate**.

The **unemployment trap** occurs when the net income available from taking a job is little higher than — or lower than — the income available out of work from benefits, so there is no financial incentive to accept employment. It is measured by the **replacement ratio**.

$$\text{Effective marginal tax rate} = (\text{income tax} + \text{NICs} + \text{benefits withdrawn}) \div \text{extra gross earnings}$$

$$\text{Replacement ratio} = \text{disposable income out of work} \div \text{disposable income in work}$$

The higher the replacement ratio, the weaker the incentive to work. Both traps are examples of **government failure**: policies designed to relieve poverty can create disincentives that keep households poor. Universal Credit was introduced partly to address them by merging six separate means-tested benefits into one payment with a single withdrawal rate, so that the overlapping tapers of the old system — which could leave a household keeping only a few pence in the pound — could not stack on top of one another. The Universal Credit taper rate has been **55%** since it was reduced from 63% in November 2021, meaning that above any applicable work allowance a household keeps 45p of each extra pound earned before income tax and NICs are also deducted.

Worked Example: Why the Effective Marginal Tax Rate Matters

Suppose a household in receipt of a means-tested benefit earns an extra £100 a week above its work allowance. It pays basic-rate income tax and National Insurance contributions on those earnings, and it also loses benefit at the taper rate. The three deductions stack:

Deduction from the extra £100	Amount
Income tax at the basic rate	£20
National Insurance contributions at the employee rate	£8
Means-tested benefit withdrawn on the remaining £72 at a 55% taper	£39.60
Total deducted	£67.60
Net gain to the household	£32.40

The effective marginal tax rate here is roughly **68%** — higher than the marginal rate faced by an additional-rate taxpayer. The figures are illustrative, because tax rates and taper rates change, but the mechanism is the examinable point: **the poverty trap is created by taxes and benefit withdrawal acting together**, not by either alone. It also shows why a government that wants to strengthen work incentives can act on three separate levers — raise the personal allowance, cut the taper rate, or raise the work allowance at which withdrawal begins.

Means-Tested Versus Universal Benefits

Means-tested benefits are paid only to those whose income and savings fall below a defined level, and are withdrawn as income rises. Examples include Universal Credit and Pension Credit.

Universal benefits are paid to everyone in a defined category regardless of income. Examples include the state pension (contribution-based rather than income-based) and free state education and NHS treatment.

	Means-tested	Universal
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Targeting	Money goes only to those who need it, so a given budget delivers more to the poorest	Payments go to rich and poor alike, so much of the spending does not reduce poverty
Cost to the taxpayer	Lower total cost of payments, but high administrative cost of assessing claims	Very high total cost, but low administrative cost and no assessment needed
Take-up	Incomplete — stigma, complexity and lack of awareness mean some eligible households never claim	Effectively complete, since no claim assessment is required
Incentive effects	Creates the poverty trap because benefits are withdrawn as earnings rise	No withdrawal, so no poverty trap is created by the benefit itself
Political support	Fragile — taxpayers who never receive it may resist funding it	Broad, because everybody benefits, making cuts politically harder
Errors	Risk of both fraud and wrongful refusal; complex rules generate mistakes	Few eligibility errors; the "error" is simply paying people who do not need the money

Government Policies to Influence the Distribution

Progressive, Proportional and Regressive Taxes

The classification depends on what happens to the **average rate of tax** (tax paid ÷ income) as income rises — not to the amount of tax paid.

Progressive: the average rate *rises* as income rises, so the rich pay a larger proportion of their income.

Proportional: the average rate is *constant* at all income levels.

Regressive: the average rate *falls* as income rises, so the poor pay a larger proportion of their income.

Type	Average rate as income rises	UK examples	Effect on inequality
Progressive	Rises	Income tax with a personal allowance and rising marginal bands; inheritance tax; capital gains tax	Reduces inequality — pulls the Lorenz curve towards the 45° line
Proportional	Constant	A flat-rate income tax; corporation tax approximates this on profits	Leaves relative shares unchanged, so the Lorenz curve does not move
Regressive	Falls	VAT and excise duties on alcohol, tobacco and fuel; the TV licence; council tax in practice	Increases inequality — a flat cash amount is a larger share of a small income

Indirect taxes are regressive because a fixed amount per unit, or a fixed percentage of the price, represents a larger share of a low income. Duty on a packet of cigarettes is the same whether the smoker earns £15,000 or £150,000. This is a standard evaluation point when discussing sin taxes or fuel duty.

The Tax and Benefit System as a Whole

- **Progressive direct taxation** raises revenue disproportionately from high earners, compressing the top of the distribution.
- **Cash transfers** — Universal Credit, Pension Credit, disability benefits, the state pension — raise the incomes of the bottom decile by far more, proportionately, than any tax change can.
- Empirically, **benefits do more redistribution than taxes**: adding cash benefits to original income moves the Lorenz curve inwards more than deducting direct taxes does, because transfers are concentrated in the lowest deciles while income tax is levied across a wide range.
- **Benefits in kind** — state schooling and NHS treatment — are worth roughly the same in cash terms to every household, so they are worth a much larger share of a low income. Their inclusion makes

"final income" substantially more equal than disposable income.

The National Living Wage

A statutory wage floor raises the pay of the lowest-paid workers directly. From **April 2026 the National Living Wage is £12.71 an hour** for workers aged 21 and over. Because it operates in the labour market rather than through the benefit system, it reduces in-work poverty without creating a withdrawal taper — but it only helps those *in* work, and classical analysis predicts that a wage floor above the market-clearing wage creates excess supply of labour. In practice the employment effects of UK increases have been smaller than that theory predicts, which is usually explained by monopsony power in low-wage labour markets, by firms absorbing costs in lower profits, and by offsetting productivity gains.

Policy Context: The National Living Wage and the Cost of Living, 2026

The National Living Wage rose to **£12.71 an hour in April 2026** for workers aged 21 and over. Its effect on real living standards depends on inflation: with **CPI inflation of about 3% in August 2026**, a nominal increase only raises real pay if it exceeds that rate. The Bank of England held **Bank Rate at 3.75% on 17 September 2026**. Interest rates matter for distribution too: higher rates raise the mortgage costs of indebted, typically younger households while raising the interest income of asset-rich savers — an example of monetary policy having distributional consequences that are not part of its remit.

State Provision of Education and Healthcare

- **Immediate effect:** free provision is a benefit in kind that raises the real living standards of low-income households, who could not afford to buy the service privately.
- **Long-run effect:** education raises human capital, productivity and future earnings, attacking a cause of inequality rather than treating the symptom. This is the main policy lever for improving social mobility and breaking the cycle of poverty.
- **Supply-side link:** higher human capital shifts LRAS to the right, so the policy can improve equity and efficiency at the same time — which is why education spending is often described as escaping the equity–efficiency trade-off.
- **Limitations:** the returns take a generation to appear; the quality of provision varies geographically; and better-off families may capture a disproportionate share of high-quality state schooling through house prices in desirable catchment areas.

Inheritance Tax and Wealth Taxes

Because wealth is far more unequally distributed than income (a Gini of 0.59 against 0.33), taxes on the *stock* rather than the *flow* have a larger potential effect on overall inequality.

- **Inheritance tax** taxes the transfer of wealth at death, directly attacking the mechanism by which advantage passes between generations. In practice it raises a small share of total UK tax revenue and is widely avoided through lifetime gifts, trusts and reliefs, so its distributional impact is much smaller than its political prominence suggests.
- **Capital gains tax** taxes the increase in an asset's value when it is sold, capturing some of the gains from rising property and share prices.
- **An annual net wealth tax** would levy a percentage of total assets each year. Supporters argue it reaches wealth that escapes income tax entirely; critics point to severe valuation problems (private businesses, art, pension rights), liquidity problems for the asset-rich but cash-poor, high administrative costs, and the risk of capital flight and emigration reducing the tax base.
- **Council tax and stamp duty** are existing UK property taxes, but council tax bands are based on 1991 valuations in England, which weakens its progressivity considerably.

Evaluation: The Equity–Efficiency Trade-Off

Equity means fairness, which is a normative concept, and must be distinguished from **equality**, which is a factual description of the distribution. **Horizontal equity** means treating people in identical circumstances identically; **vertical equity** means treating people in different circumstances differently, which is the justification for progressive taxation.

The central evaluative argument in this topic is that redistribution which improves equity may reduce economic efficiency. Arthur Okun described this as carrying money from rich to poor in a **leaky bucket**: some of the transfer is lost on the way through administrative costs and through the behaviour the transfer itself changes.

Incentive Effects and the Laffer Curve

High marginal tax rates may reduce the incentive to work, to acquire skills, to take entrepreneurial risk or to remain in the country. The **Laffer curve** formalises the argument: as the tax rate rises from zero,

revenue at first rises, but beyond some rate t^* the disincentive, avoidance and evasion effects dominate and revenue falls. At a 100% rate nobody has any reason to earn taxable income, so revenue returns to zero.

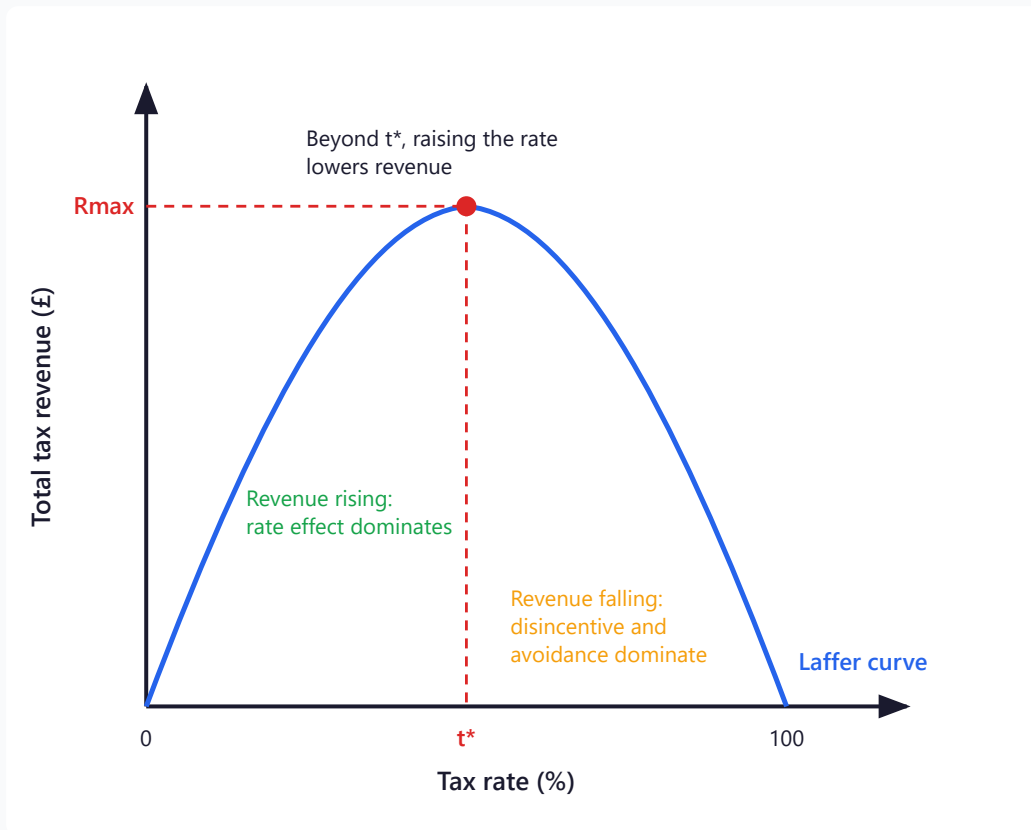


Figure 3: The Laffer curve. Revenue is zero at a tax rate of 0% and again at 100%, peaking at R_{max} when the rate is t^* . The diagram is qualitative — economists disagree strongly about where t^* actually lies for any given tax.

The Laffer argument should be handled carefully in evaluation. It shows only that *some* rate maximises revenue, not that current rates are above it. If the economy is on the upward-sloping section, a tax rise still raises revenue and the disincentive argument is weaker than it is usually claimed to be.

The Argument That Some Inequality Is Necessary

- **Incentives:** wage differentials are the signal that allocates labour to where it is most productive, and the reward for acquiring scarce skills. Removing them removes the incentive to train, to work harder and to move to where labour is needed.
- **Enterprise:** the prospect of large profit compensates entrepreneurs for bearing risk. Taxing that reward heavily may reduce risk-taking, innovation and dynamic efficiency.

- **Trickle-down:** the claim that gains at the top eventually raise incomes throughout the distribution through investment and job creation. The empirical evidence for this is contested, and it has weakened as a policy argument.
- **The counter-case:** many economists argue that *excessive* inequality itself harms growth, by leaving human capital undeveloped among those who cannot afford education, by concentrating income among high savers and weakening aggregate demand, and by damaging social cohesion and trust.

Evaluation framework for any question on poverty, inequality or redistribution:

1. **Equity versus efficiency:** does the policy improve fairness at the cost of output, or can it do both? Education and health spending raise human capital and LRAS, so they may escape the trade-off; a high top rate of income tax probably does not.
2. **Incentive effects:** what happens to the effective marginal tax rate and the replacement ratio? Does the policy create or relieve the poverty trap and the unemployment trap?
3. **The Laffer argument:** would a higher rate actually raise revenue, or is the economy already near t^* ? Be sceptical of the claim in both directions.
4. **Targeting:** means-testing targets scarce resources but reduces take-up and creates tapers; universal provision achieves full take-up but is expensive and poorly targeted. Which failure matters more here?
5. **Poverty or inequality?** Identify which the question is actually about. A policy can cut poverty without touching inequality (raising the bottom) or cut inequality without touching poverty (capping the top).
6. **Absolute or relative?** Growth can eliminate absolute poverty but never eliminates relative poverty, which is defined against a moving median.
7. **Stock or flow?** Taxes on income do nothing about the far greater inequality in wealth. Does the policy address the stock, and if so, can wealth be valued and can it flee?
8. **Government failure:** administrative costs, the leaky bucket, information failure about who is genuinely in need, benefit fraud and error, and unintended behavioural responses.
9. **Time lags:** benefits and the minimum wage change incomes within months; education and health policy change the distribution only over a generation.
10. **Measurement caveats:** is the evidence BHC or AHC? Does the Gini conceal where the change occurred? Do household surveys under-record incomes at the very top?

Exam Tip — 25-Mark Essays: Essays on this topic usually take the form "Evaluate the view that the government should do more to reduce inequality in the UK." A strong structure is: define income and wealth and the measure you are using; give one piece of dated UK evidence (the 33% BHC Gini in 2024/25, the 0.59 wealth Gini in 2020–22, or the 21% JRF poverty rate for 2023/24); analyse two policies in depth with a Lorenz curve diagram; evaluate each using the equity–efficiency trade-off, incentive effects and government failure; then reach a supported judgement that distinguishes short-run from long-run effects and says *which* policy you would prioritise and why. Do not simply list every policy you know.